

Credent Asset Management Services Private Limited

Know Your Customer (KYC) And Anti Money Laundering Policy

Credent Asset Management Services Pvt. Ltd.

Mumbai office: 306, B2, Shubham Centre, Cardinal Gracious Road, Chakala, Andheri (East), Airport (Mumbai), Maharashtra, India, 400099

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APPLICABILITY

This Anti Money Laundering Policy ('the Policy') is applicable to Credent Asset Management Services Private Limited registered as Portfolio Manager with SEBI (hereinafter referred to as 'Company') providing guidelines on Anti- Money Laundering (AML) Standards and Combating the Financing of Terrorism (CFT).

REGULATORY FRAMEWORK

A. Financial Action Task Force (FATF)

The Financial Action Task Force (FATF) is an inter-governmental body established to set standards and promote effective implementation of legal, regulatory and operational measures for combating money laundering, terrorist financing and other related threats to the integrity of the international financial system.

To achieve global implementation of the FATF recommendations, the FATF relies on a strong global network of FATF-Style Regional Bodies, in addition to its own members, representing most major financial centers in all parts of the globe. India is a full member of the FATF since June 2010.

B. Financial Intelligence Unit – India (FIU-IND)

The Government of India set up Financial Intelligence Unit – India (FIU-IND) on November 18, 2004 as an independent body to report directly to the Economic Intelligence Council (EIC) headed by the Finance Minister. FIU-IND has been established as the central national agency responsible for receiving, processing, analyzing and disseminating information relating to suspect financial transactions. It is also responsible for coordinating and strengthening efforts of national and international intelligence and enforcement agencies in pursuing the global efforts against money laundering and related crimes. Director, FIU-IND and Director (Enforcement) have been conferred with exclusive and concurrent powers under relevant Sections of the Act to implement the provisions of the Act.

C. Anti-Money laundering in Indian context

The Prevention of Money Laundering Act, 2002 (PMLA 2002 or the Act) together with the Prevention of Money Laundering Rules, 2005 (Rules) and various circulars / Master Circular dated October 15, 2019 issued by Securities & Exchange Board of India (SEBI) forms the core of the legal framework put in place by India to combat money laundering. The PMLA 2002 and Rules and Circulars notified thereunder impose an obligation on banking companies, financial institutions and SEBI registered intermediaries to verify identity of clients, maintain records and furnish information to FIU-IND. The PMLA provides that violating the prohibitions on manipulative and deceptive devices, insider trading and substantial acquisition of securities or control as prescribed in Section 12 A read with Section 24 of the Securities and Exchange Board of India Act, 1992 (SEBI Act) will now be treated as a

This policy document is based on the Guidelines and circulars issued by SEBI from time to time and has been amended to suit specific requirements of the Company within the regulatory framework.

Various regulators like SEBI, RBI, IRDAI, etc. have also issued Anti Money Laundering (AML) guidelines and circulars, for prevention of money laundering through entities governed by these regulators.

D. Definitions

Section 3 of the Prevention of Money Laundering (PML) Act 2002 describes the “Offence of money laundering” as under:

“Whoever directly or indirectly attempts to indulge or knowingly assists or knowingly is party or is actually involved in any process or activity connected with the proceeds of crime and projecting it as untainted property shall be guilty of offence of money laundering”.

Basis above, it is derived that money laundering is the process by which persons attempt to hide and disguise the true origin and ownership of the proceeds of their illegal activities, thereby avoiding prosecution, conviction and confiscation of the funds generated through illegal acts and means. The term “Money Laundering” is also used when the funds are used for terrorist financing though the origin of the funds may be legitimate.

Basically, the money laundering process involves three stages:

- ◆ Placement - the physical disposal of cash proceeds derived from illegal activity.
- ◆ Layering - separating illicit proceeds from their source by creating complex layers of financial transactions designed to hamper the audit trail, disguise the origin of such funds and provide anonymity to their owners.
- ◆ Integration - placing the laundered proceeds back into the economy in such a way that they reenter the financial system appearing to be legitimate business funds.

Money launderers use the financial services system for cleansing ‘dirty money’ obtained from criminal activities with the objective of hiding/disguising its source. The process of money laundering involves creating a web of financial transactions so as to hide the origin and true nature of these funds. For the purpose of this document, the term ‘money laundering’ would also covers financial transactions where the end use of funds goes for terrorist financing irrespective of the source of the funds and/or received through illicit means i.e. corruption, bribery, fraud etc.

- a) “Beneficial owner” means is the natural person or persons who ultimately own, control or influence a client and/or persons on whose behalf a transaction is being conducted. It also incorporates those persons who exercise ultimate effective control over a legal person or arrangement.

- b) "Designated Director" means a person designated by the reporting entity and authorized by its Board of Directors to ensure overall compliance with the obligations imposed under chapter IV of the Act and the Rules.
- c) "Politically Exposed Person" (PEP) means:
 - i. **Foreign PEPs:** Individuals who are or have been entrusted with prominent public functions by a foreign country, for example Heads of State or of government, senior politicians, senior government/ judicial / military officials, senior executives of state-owned corporations, important political party officials.
 - ii. **Domestic PEPs:** Individuals who are or have been entrusted domestically with prominent public functions, for example Heads of State or of government, senior politicians, senior government/judicial/ military officials, senior executives of state owned corporations, important political party officials.
 - iii. **International organisation PEPs:** Persons who are or have been entrusted with a prominent function by an international organisation, refers to members of senior management or individuals who have been entrusted with equivalent functions, i.e. directors, deputy directors and members of the board or equivalent functions,
 - iv. **Family members** of PEP who are related to PEP either directly or through marriage or similar forms of partnership.
 - v. **Close associates** are individuals who are closely connected to a PEP, either socially or professionally.
- d) "Principal Officer" means an officer designated by a reporting entity.
- e) "Reporting Entity" means a banking company, financial institution, intermediary or a person carrying on a designated business or profession.
- f) "Suspicious transaction" means a transaction, whether or not made in cash which, to a person acting in good faith:
 - ◆ Gives rise to a reasonable ground of suspicion that it may involve proceeds of an offence specified in the Schedule to the Act, regardless of the value involved; or
 - ◆ Appears to be made in circumstances of unusual or unjustified complexity; or
 - ◆ Appears to have no economic rationale or bona-fide purpose; or
 - ◆ Gives rise to a reasonable ground of suspicion that it may involve financing of the activities relating to terrorism;

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Explanation: Transaction involving financing of the activities relating to terrorism includes transaction involving funds suspected to be linked or related to, or to be used for terrorism, terrorist acts or by a terrorist, terrorist organization or those who finance or are attempting to finance terrorism.

E. Objective of this policy

Money laundering is the practice of engaging in financial transactions in order to conceal the identity, source, and/or destination of money, and is a main operation of the underground economy.

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In the past, the term "money laundering" was applied only to financial transactions related to organized crime. Today its definition is often expanded by government regulators (such as the United States Office of the Comptroller of the Currency) to encompass any financial transaction which generates an asset or a value as the result of an illegal act, which may involve actions such as tax evasion or false accounting. As a result, the illegal activity of money laundering is now recognized as potentially practiced by individuals, small and large businesses, corrupt officials, members of organized crime (such as drug dealers or the Mafia) or of cults, and even corrupt states, through a complex network of shell companies and trusts based in offshore tax havens.

As per PMLA, whosoever directly or indirectly attempts to indulge or knowingly assists or knowingly is a party or is actually involved in any process or activity connected proceeds or crime including its concealment, possession, acquisition or use and projecting or claiming it as untainted property shall be guilty of offence of money- laundering.

The Objective of this document is to have in place adequate policy, practice and procedure that aims to identify the types of customers that are likely to pose a higher than the average risk of money laundering or terrorist financing and to promote professional standard and help to prevent the Company from unintentionally participating in money laundering activities.

The Company intends to follow and adhere to standards of PMLA and stands committed to:

- ◆ Acceptance of transactions from investors by identifying the beneficial ownership and control, i.e. determine which individual(s) ultimately own(s) or control(s) the customer and /or person on whose behalf a transaction is being conducted, corroborating the information provided in relation to beneficial owner and whose identity is established with the help of appropriate verification by using reliable, independent source documents, data or information, in line with Client Acceptance Standards prescribed by SEBI.
- ◆ Record and preserve audit trail for the transactions conducted by customers to facilitate investigation.
- ◆ Conduct on-going due diligence and scrutiny i.e. perform on-going scrutiny of the transactions and account throughout the course of the business relationship to ensure that the transactions being conducted are consistent with the registered intermediary's knowledge of the customer, its business and risk profile, taking into account, where necessary, the customer's source of funds.
- ◆ Report to Financial Intelligence Unit – India, or any other agency designated by Securities

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and Exchange Board of India or Government of India, the details of transactions of all or selected clients, if and when requested or at such frequency as may be suggested by such agencies, and

- ◆ Co-operate with investigative agencies / law enforcement agencies in their efforts to trace the money laundering transactions and persons involved in such transactions.

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F. Approach

The approach towards AML Standards is based on risk perception and money laundering threats with an aim to identify the types of customers that are likely to pose a higher than the average risk of money laundering or terrorist financing company standards and measures involve a customer acceptance and identification exercise that involves enhanced due diligence for higher risk accounts, and includes account monitoring for suspicious activities in line with Uniform Standards, as specified by AMFI from time to time. These standards constitute an essential part of risk management by providing the basis for identifying and controlling risk exposures, which the company takes to protect itself and its genuine customers from the risks arising out of suspicious transactions/risky customers.

The Company focuses on the following key elements:

- i. Customer Acceptance Policy and identification procedures
- ii. Risk classification
- iii. Enhance Due Diligence (EDD)
- iv. On-going Monitoring Processes and
- v. Reporting

Other AML Measures:

- i. Reporting Procedures
- ii. Awareness
- iii. Record Maintenance
- iv. Staff Hiring Policies and Training Programs and
- v. Investor Education
- vi. Review of the Policy

1. Customer acceptance policy and identification procedure

i. Know your Client (KYC)

SEBI has prescribed the minimum requirements relating to KYC for certain classes of registered intermediaries from time to time. Company has incorporated the same in there KYC document checklist and the same is followed while onboarding the client.

ii. **Client Due Diligence (CDD)**

Identification of Beneficial Ownership

Obtaining sufficient information in order to identify persons who beneficially own or control the securities account. Whenever it is apparent that the securities acquired or maintained through an account are beneficially owned by a party other than the client, that party shall be identified using client identification and verification

procedures. The beneficial owner is the natural person or persons who ultimately own, control or influence a client and/or persons on whose behalf a transaction is being conducted. It also incorporates those persons who exercise ultimate effective control over a legal person or arrangement.

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Verify the client's identity using reliable, independent source documents, data or information

Beneficial Owner will be identified as under:

i. **For clients other than individuals or trusts:** Where the client is a person other than an individual or trust, viz., company, partnership or unincorporated association/body of individuals, the intermediary shall identify the beneficial owners of the client and take reasonable measures to verify the identity of such persons, through the following information:

a. The identity of the natural person, who, whether acting alone or together, or through one or more juridical person, exercises control through ownership or who ultimately has a controlling ownership interest.

Explanation: Controlling ownership interest means ownership of/entitlement to:

- i. more than 10% of shares or capital or profits of the juridical person, where the juridical person is a company;
- ii. more than 15% of the capital or profits of the juridical person, where the juridical person is a partnership; or
- iii. more than 15% of the property or capital or profits of the juridical person, where the juridical person is an unincorporated association or body of individuals.

b. In cases where there exists doubt under clause (a) above as to whether the person with the controlling ownership interest is the beneficial owner or where no natural person exerts control through ownership interests, the identity of the natural person exercising control over the juridical person through other means.

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Explanation: Control through other means can be exercised through voting rights, agreement, arrangements or in any other manner.

- c. Where no natural person is identified under clauses (a) or (b) above, the identity of the relevant natural person who holds the position of senior managing official.

- iii. **For client which is a trust:** Where the client is a trust, the intermediary shall identify the beneficial owners of the client and take reasonable measures to verify the identity of such persons, through the identity of the settler of the trust, the trustee, the protector, the beneficiaries with 15% or more interest in the trust and any other natural person exercising ultimate effective control over the trust through a chain of control or ownership.

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- iv. **Exemption in case of listed companies:** Where the client or the owner of the controlling interest is a company listed on a stock exchange, or is a majority-owned subsidiary of such a company, it is not necessary to identify and verify the identity of any shareholder or beneficial owner of such companies.
- v. **Applicability for foreign portfolio investors:** Intermediaries dealing with foreign portfolio investors' may be guided by the SEBI circulars IMD/FPI&C/CIR/P/2019/124 dated November 05, 2019 or any amendment thereto for the purpose of identification of beneficial ownership.

Initial Steps-Validation of accounts with various Watchlists

Necessary initial checks shall be carried out before opening a new account so as to ensure that the identity of the client/Beneficial Owner of client does not match with any person with known criminal background or with banned in any other manner, whether in terms of criminal or civil proceedings by any enforcement agency worldwide.

Company shall validate the new account opening application with various watch lists including but not limited to the RBI watch list/other available checklists to ascertain the creditworthiness of the Client and to check whether the name of the client appears on the UNSCR list, FATF list or client is PEP and SEBI debarred list from accessing the securities market.

- ◆ To facilitate this, an updated list of individuals and entities which are subject to various sanction measures such as freezing of assets / accounts, denial of financial services etc., as approved by Security Council Committee established pursuant to United Nations' Security Council Resolutions (UNSCRs) can be accessed in the United Nations website: <http://www.un.org/sc/committees/1267/consolist.shtml>

Full details of accounts bearing resemblance with any of the individuals/entities in the list shall immediately be intimated to SEBI and FIU-IND. Also a communication with required details will be as directed by Ministry of Home Affairs.

The client name, PAN number needs to be screened on various sites to identify if the client is forming part of the restricted list prescribed by RBI/SEBI, i.e, UNSC List, list specified by Ministry of Home affairs and SEBI debarred list restricting the clients from accessing Securities Market (SEBI debarred list for NSE and BSE Exchanges available on SEBI website). The investor details needs to be searched at the website (as mentioned above) for Politically Exposed persons (PEP) for necessary action.

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Know Your Client (KYC) Standards

It is mandatory for every client who invests to be KYC – KRA / CKYC compliant and possess a Permanent Account Number (PAN) / PAN Exempt KYC Reference Number (PEKRN). Additionally, Aadhaar based e-KYC services have also been initiated by UIDAI.

Submission of certified copy of the PAN card issued by the Income Tax Department or certified copy of PAN Exempted KYC Reference Number issued by KRA, irrespective of the amount of investment, while making an application for investment is mandatory. However, in case the Client is CKYC compliant, data is fetched from CERSAI system based on his PAN and obtaining physical copy of PAN is optional.

The Checklist utilized by the Fund for processing Investor KYC is provided in **Annexure 1**.

Pursuant to SEBI Circular No. MIRSD/Cir- 26 /2011 dated December 23, 2011, SEBI KYC Registration Agency (KRA) Regulations, 2011 and SEBI Circular No. MIRSD/SE/Cir- 21/2011 dated October 5, 2011:

1. A common KYC Application Form has been introduced for all the SEBI registered intermediaries. New Investors would be required to use the common KYC Application Form and carry out the KYC process including In-Person Verification (IPV) with any SEBI registered intermediaries.
2. The company shall perform the initial KYC of its new investors and may undertake enhanced KYC measures commensurate with the risk profile of its investors in line with the aforementioned circulars/circulars issued by SEBI in this regard from time to time. The company/R&TA shall upload the details of the investors on the CKYC platform. The Registrar & Transfer Agents (RTA) may also undertake the KYC of the investors on behalf of the company. Intermediaries carrying out the KYC process shall upload the POI, POA and the signature in CKYC system and the physical documents will be retained with the Company.
3. Once the investor has done KYC with a SEBI registered intermediary, the investor need not undergo the same process again with another intermediary unless there are any updations in his KYC information.

The circumstances under which the client is permitted to act on behalf of another person/entity shall be clearly laid down. It shall be specified in what manner the account shall be operated, transaction limits for the operation, additional authority required for transactions exceeding a specified quantity/value and other appropriate details.

Even though the Company has outsourced the KYC activity to outsourced vendor, the

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Company shall be ultimately responsible for CDD and undertaking enhanced due diligence measures, as applicable.

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2. Risk Classification

It is generally recognized that certain clients may be of a higher or lower risk category depending on the circumstances such as the client's background, type of business relationship or transaction etc. As such, the registered intermediaries shall apply each of the client due diligence measures on a risk sensitive basis. The basic principle enshrined in this approach is that the registered intermediaries shall adopt an enhanced client due diligence process for higher risk categories of clients. Conversely, a simplified client due diligence process may be adopted for lower risk categories of clients. In line with the risk-based approach, the type and amount of identification information and documents that registered intermediaries shall obtain necessarily depend on the risk category of a particular client.

The company shall screen clients through the various websites to identify that the clients are not debarred/banned for registering with the Company. Additionally, the Company shall also risk categorize its clients depending upon their networth, category (ie. Trust NRI clients etc.), however, companies listed on the stock exchanges, are generally treated as low risk. Similarly, clients with known credentials / acceptable background, may be considered as Low risk depending on the comfort / risk perception of the company.

- ◆ High risk clients: Screening to be undertaken on an annual basis.
- ◆ Medium risk clients: Screening to be undertaken once in every 3 years.
- ◆ Low risk clients: Screening to be undertaken once in every 8 years.

3. Enhanced Due Diligence (EDD)

Based on the levels of risk perceived for client's viz. High or Medium or Low, the company would focus greater attention on high risk clients.

In line with SEBI Master Circular on Anti Money Laundering (AML) and Combating Financing of Terrorism (CFT) - Obligations of Intermediaries under Prevention of Money Laundering Act, 2002 the Company shall on a best effort basis, identify High Risk Clients / PEPs and may subject them to enhanced due diligence. Refer **Annexure 4**.

For clients identified as PEP clients, senior management/ Compliance approvals needs to be obtained for entering into any relationship with such clients. Also, in case the existing client subsequently becomes PEP, then Senior Management/Compliance team approval need to be obtained to continue relationship with such client, post becoming PEP.

Refer **Annexure 2: Clients of special category**.

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4. **On-going Monitoring Processes**

The Rules notified under the PMLA defines “suspicious transaction” as a transaction whether or not made in cash which, to a person acting in good faith-

- a) Give rise to a reasonable ground of suspicion that it may involve the proceeds of crime; or
- b) Appears to be made in circumstances of unusual or unjustified complexity; or
- c) Appears to have no economic rationale or bonafide purpose.

SEBI places an obligation on Intermediaries to furnish information to FIU, Government of India, in respect of suspicious transactions within 7 days of arriving at a conclusion that any transaction is of suspicious nature. The indicative list of suspicious transactions as per SEBI requirement is provided in **Annexure 5**.

The Act and Guidelines prescribe that clients should be subject to ongoing scrutiny throughout the course of a business relationship. Accordingly, it would be ensured that transactions are conducted in a manner consistent with the Company’s knowledge of a customer, their business and risk profile and also their declared income / source of funds, wherever possible.

5. **Indicative list of suspicious activities/ Transaction Acceptance Policy:**

- ◆ **Cash Transactions.** The Company does not accept cash for any investment nor does it pay cash towards any redemption or refunds. Therefore, instances of suspicion on the grounds of cash transaction are not expected.
- ◆ **Pay orders / Demand Drafts incoming payments:** All investments through pay orders/ demand drafts will require a declaration from the client’s bank that the pay order/demand draft issued is funded through the applicant’s bank account.
- ◆ **Third Party incoming payments issued in India:** As per the amended SEBI regulation, no third party cheques are accepted for investments. It is thus ensured that the funds for subscriptions are largely through a bank account where the applicant is one of the account holders.
- ◆ **Joint Account Holders:** In case of Joint account where the account holder name is mentioned in the cheque, the first applicant has to be one of the joint holders in the bank account. Where the account holder’s name is not mentioned in the cheque, the client signature is matched with the application form. Any transaction which does not meet the said criteria is not processed.
- ◆ **Redemption / Distribution payouts:** Redemption / Distribution payouts, if any, must be processed for direct credit into the bank account of the first applicant electronically or pay vide cheque favoring the first applicant’s name with the bank account details.
- ◆ **Transactions that do not make economic sense:**

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- Frequent churning of investments.
- Frequent change in Bank Mandate.
- Such other criteria that may be prescribed by SEBI from time to time.

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- ◆ **Attempts to avoid Reporting / Record Keeping requirement:**
 - Investors reluctant to provide information.
 - Investors induces Company not to file any report / forms.
- ◆ **Unusual Transactions:**
 - Very large number of bank accounts (i.e. For Individuals 10, and for Corporate 20) in relation to the status of the customer.
 - Sudden surge in activity level, which means 6 transactions in the Fund in a day for 4 days in a span of two weeks.
 - Inoperative accounts for 2 years becoming active suddenly.
 - Frequent change of bank mandates / address i.e., three or more changes in six months.
 - Unusually large number of switches i.e., 4 switches in two weeks.
 - High level of activity in a folio:
 - Non-Individuals other than Scheduled Commercial Banks, Listed Companies.
 - Government Companies/ Bodies- more than 2 financial transactions in a day.
- ◆ **Customer who provides insufficient information:**
 - Information/additional information requested but not forthcoming (within reasonable time of request) in relation to transactions with Company.
 - Frequent “Returned Undelivered” status on communications to client: 5 or more in a calendar year
- ◆ **Certain Suspicious Fund Transfer Activities:**
 - Inward Wire Transfer from Overseas – which is not supported by adequate declarations
 - Country of Inward Wire Transfers differing from country mentioned in bank mandates
 - Bank mandates mentioned in high risk and moderate risk countries
- ◆ **Illustrative list of Suspicious Transactions are as follows:**
 - Clients whose identity verification seems difficult or client appears not to cooperate
 - Customer is insisting on anonymity, reluctance to provide identifying information, or providing minimal information;
 - Clients source of funds is not clear or not in keeping with clients apparent standing / business activity
 - Clients in high risk jurisdictions or clients introduced by intermediaries / referral sources based in high risk jurisdictions
 - Requests for transfer of investment proceeds to apparently unrelated third parties
 - Unusual transactions and business undertaken by shell corporations, offshore banks / financial services, business reported in the nature of export-import of small

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items etc.

- External information that is material in nature viz. reliance on publicly available database, google alerts, law enforcement agency actions etc.

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Above activities are illustrative in nature and other activities may be included in the list in consultation with the Principal Officer.

Any suspicious transaction shall be immediately notified to the Principal Officer. The notification may be done in the form of a detailed report with specific reference to the clients, transactions and the nature /reason of suspicion. However, it shall be ensured that there is continuity in dealing with the client as normal until told otherwise and the client shall not be told of the report/ suspicion. In exceptional circumstances, consent may not be given to continue to operate the account, and transactions may be suspended, in one or more jurisdictions concerned in the transaction, or other action taken.

6. Internal Audit to be enhanced

Internal Audit conducted on a regular basis, would review transactions based on this Policy and report them in their audit report.

7. Principal Officer

The Principal Officer shall be responsible for the following:

- a. To monitor compliance with the Policy;
- b. Communicating the Policy on Prevention of Money Laundering to the employees of the Company;
- c. Receiving reports for any suspicious dealings noticed by them;
- d. Clarifying any queries from employees on AML matter;
- e. Ensuring that the Company Representative (like employees, authorized person, distributor, sub-distributor, etc.) dealing with the clients/ prospective clients are aware of the KYC guidelines of the Company and are advised to follow the same strictly;
- f. To record reason for arriving at a decision that the transaction is a suspicious transaction;
- g. The Principal Officer and other appropriate compliance, risk management and related officials shall have timely access to client identification data and CDD information, transaction records and other relevant information from the system;
- h. Principal Officer shall have access for any data and is vested with highest authority to audit the transaction and to get the data from relevant authorities in entity and all shall comply with the same; and
- i. Submit Suspicious Transactions report, Cash transactions report, Non-Profit Organisation Sector Transaction Report (NTR) report etc. to FIU-IND.

8. Designated Director

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The person that is appointed as the “Designated Director” for the purpose of Prevention of Money-laundering (Maintenance of Records) Amendment Rules, 2013 to ensure overall compliance with the obligation imposed under Chapter IV of the Prevention of Money- laundering Act, 2002 and the Rules there under.

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Name, designation, email id and address of Principal Officer need to be intimated to the Office of the Director, FIU – IND.

9. Reporting Procedures

FIU-IND has developed a utility for submission of transaction report online. The required information is to be furnished by the Company directly to the FIU-IND online on <https://finnet.gov.in>, through the Principal Officer or any designated person. The submitted report to be furnished at the following address by the Principal Officer of the entity:

Director, FIU-IND
Financial Intelligence Unit – India,
6th floor, Hotel Samrat
Chanakyapuri
New Delhi 110021
Website: <http://fiuindia.gov.in>

A copy of the information furnished shall be retained by the Principal Officer for the purposes of official record.

Reporting of transactions should be carried out in such format and such manner, as prescribed by FIU and other Regulatory Authorities from time to time.

No nil reporting needs to be made to FIU-IND in case there are no suspicious transactions to be reported.

As per the Act, presently, the following reports are required to be filed with FIU by Principal officer:

1. The Cash Transaction Report (CTR) (wherever applicable) for each month should be submitted to FIU-IND by 15th of the succeeding month.

The investment amount for reporting purpose shall be as follows:

- a. All cash transactions of the value of more than rupees ten lakhs or its equivalent in foreign currency;
- b. All series of cash transactions integrally connected to each other which have been valued below rupees ten lakhs or its equivalent in foreign currency where such series of transactions have taken place within a month.
- c. All suspicious transactions whether or not made in cash and including, inter alia, credits or debits into from any non-monetary account such as demat account, security account maintained by the registered intermediary.

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2. Counterfeit Currency Report (CCR) - All cash transactions, where forged or counterfeit currency notes or bank notes have been used as genuine and where any forgery of a valuable security has taken place (if any) shall be reported by 15th day of succeeding month.
3. Suspicious Transaction Report (STR), based on the STR criteria (refer **Annexure 5**) stipulated by Company, should be submitted within 7 days of arriving at a conclusion that any transaction, whether cash or non-cash, or a series of transactions integrally connected are of suspicious nature. It is likely that in some cases transactions are abandoned or aborted by clients on being asked to give some details or to provide documents. It is clarified that Company shall report all such attempted transactions in STRs, even if not completed by clients, irrespective of the amount of the transaction. The Principal Officer should record her/his reasons for treating any transaction or a series of transactions as suspicious. It should be ensured that there is no undue delay in arriving at such a conclusion. The Principal Officer will be responsible for timely submission of STR to FIU-IND. Utmost confidentiality should be maintained in filing of STR to FIU-IND. The reports may be transmitted by speed/registered post/fax at the notified address or any other /electronic mode as may be prescribed.

Company should not put any restrictions on operations in the accounts where an STR has been made. Further, it should be ensured that there is no tipping off to the client at any level.

4. NPO Transaction reporting

Where the clients who are categorized as Non-Profit Organization, a report in a prescribed format shall be filed with FIU. Rule 2(1)(c) of PMLA rules defines “non-profit organisation” means any entity or organisation that is registered as a trust or a society under the Societies Registration Act, 1860 (21 of 1860) or any similar State legislation or a company registered under section 25 of the Companies Act, 1956 (1 of 1956).

Guidelines for determining NPO is enclosed as **Annexure 3**

All transactions involving receipts by non-profit organizations of more than Rs. 10 lakh, or its equivalent in foreign currency shall be reported by 15th of succeeding month (NTR).

5. All cross border wire transfer of the value of more than Rs. 5 lakh or its equivalent in foreign currency whether either the origin or destination of funds is in India shall be reported by 15th of succeeding month (CBWTR).

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Note: In relation to points 1 and 2 above Company is not accepting cash transactions, hence such reporting requirements are not undertaken at present. In relation to points 4 and 5 above Company is not accepting or paying foreign currency of registering NPO as investors, hence such reporting requirements are not undertaken at present.

10. Prohibition on Disclosure of Information:

No COMPANY representative shall disclose the fact that a Suspicious Transactions Report or related information of an client is being reported or provided to the FIU-IND. It shall be ensured that there is no tipping off to the client at any level

11. Record Maintenance

Company shall maintain details/records within the Company as well as with the RTA who maintains the database of all the client transactions and registration. However, cash transactions shall not be accepted by the Company and hence record maintenance shall not be required.

Company shall retain the following information for the accounts of their clients in order to maintain a satisfactory audit trail for reconstructing a financial profile of the suspect account which may be required by regulators:

- a) the beneficial owner of the account;
- b) the volume of the funds flowing through the account; and
- c) for selected transactions:
 - i. the origin of the funds.
 - ii. the form in which the funds were offered or withdrawn, e.g. cheques, demand drafts etc.
 - iii. the identity of the person undertaking the transaction.
 - iv. the destination of the funds.
 - v. the form of instruction and authority.

The records shall be maintained which shall allow easy and quick retrieval of data as and when requested by the competent authorities.

Company shall keep records of all necessary information specified by the regulator in respect of transaction including the following information:

- i. the nature of the transactions.
- ii. The amount of the transaction and the currency in which it is denominated.
- iii. The date on which the transaction was conducted; and
- iv. The parties to the transaction.

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Company shall maintain details/records with the RTA agent/CAMs as under:

- a) Records of all transactions to be maintained whether executed or rejected, for a period of five years from the date of transactions, in such manner as to enable it to retrieve individual transactions.
- b) Records of documents evidencing identity of clients and beneficial owners as well as account files and business correspondence relating to its clients are required to be maintained for a period of five years after the business relationship between the client and the entity has ended or the account has been closed, whichever is later.

In situations where the records relate to on-going investigations or transactions which have been the subject of a suspicious transaction reporting, they shall be retained until it is confirmed that the case has been closed.

12. Procedure for freezing of funds, financial assets or economic resources or related services

- a) By virtue of Section 51A of UAPA, the Central Government is empowered to freeze, seize or attach funds of and/or prevent entry into or transit through India any individual or entities that are suspected to be engaged in terrorism.
- b) Reporting entities shall follow the procedure prescribed by respective regulators for freezing of accounts of designated individuals/entities in case any customer records are matched with that of designated individuals/entities.
- c) Reporting entities shall comply with the procedure prescribed by respective regulators for unfreezing of accounts of 'designated individuals/entities' in case of individuals/entities inadvertently affected by the freezing mechanism, upon verification that the individual/entity is not a designated individual/entity.
- d) Reporting entities shall comply with the procedure prescribed by respective regulator for implementation of requests received for freezing of insurance policies of 'designated individuals/entities' without prior notice to the designated persons involved.

13. Staff Hiring Policies and Training Programs

Company shall ensure that staff hired for the purposes of dealing with clients is suitable

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and competent for the job. Appropriate background verification in the form of reference checks and other character checks should be conducted before a person is confirmed for the job. The steps taken to ascertain the background of the employee(s) must be documented.

Also that, adequate training is imparted to all the concerned officers handling sales/ RTA activities of the business of Company and back office staff, compliance staff, risk management staff and staff dealing with new clients so as to ensure that the contents of this Policy and PMLA guidelines are understood and to develop awareness and vigilance to guard against money laundering and terrorist financing.

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Awareness should be created in terms of AML standards and its measures with the help of training/media which will be towards ensuring that the businesses of Company are not used intentionally or unintentionally for the purpose of money laundering.

14. Investors Education

Implementation of AML/CFT measures requires intermediaries to demand certain information from investors which may be of personal nature or has hitherto never been called for. Such information can include documents evidencing source of funds/income tax returns/bank records etc. This can sometimes lead to raising of questions by the client with regard to the motive and purpose of collecting such information. Company need to sensitize their clients about these requirements as the ones emanating from AML and CFT framework.

15. Review of the Policy

The Policy shall be reviewed at least annually or as and when there are changes in the AML standards or measures.

Annexure 1

Checklist for KYC processing

- a) Filled in the Investor Application Form.
- b) Filled in the Investor's KRA-CKYC Application Form (or) Attached copy of KRA-CKYC Acknowledgement.
- c) Attached KYC Additional Information /UBO /FATCA Declaration, as the case may be.
- d) Executed Contribution Agreement.
- e) Signed all relevant Annexures.
- f) Signed Letter of Indemnity.
- g) Enclosed self-certified copies (as set out in the applicable Investor Information Form) of your Identity, Address.
- h) Proof and PAN Card.
- i) Authorised Signatory List.
- j) Board of Resolution.
- k) Shareholding Pattern.
- l) Verification of client with RBI and SEBI website to check if client name is appearing as debarred/Banned.
- m) Additional due diligence as specified in Annexure for High risk clients.
- n) Senior management approval/ Compliance approval to be obtained for PEP client.

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Clients of Special Category

Master circular classifies the following clients as clients of special category, which may be ascertained for the purpose of enhanced due diligence considering the other factors:

- a) Non – resident clients.
- b) High net-worth clients.
- c) Trust, Charities, Non-Governmental Organizations (NGOs) and organizations receiving donations.
- d) Companies having close family shareholdings or beneficial ownership.
- e) Politically Exposed Persons (PEP) are individuals who are or have been entrusted with prominent public functions in a foreign country, e.g., Heads of States or of Governments, senior politicians, senior government/judicial/military officers, senior executives of state-owned corporations, important political party officials, etc.
- f) Companies offering foreign exchange offerings.
- g) Clients in high risk countries where existence / effectiveness of money laundering controls is suspect, where there is unusual banking secrecy, countries active in narcotics production, countries where corruption (as per Transparency International Corruption Perception Index) is highly prevalent, countries against which government sanctions are applied, countries reputed to be any of the following – Havens/ sponsors of international terrorism, offshore financial centers, tax havens, countries where fraud is highly prevalent. While dealing with clients in high risk countries where the existence/effectiveness of money laundering control is suspect, intermediaries apart from being guided by the Financial Action Task Force (FATF) statements that identify countries that do not or insufficiently apply the FATF Recommendations, published by the FATF on its website (www.fatf-gafi.org), shall also independently access and consider other publicly available information.
- h) Non face to face clients.
- i) Clients with dubious reputation as per public information available etc.

Non-Profit Organisation Transaction Reporting (NTR).

Under the Prevention of Money Laundering Act (PMLA), every Reporting Entity (RE) is required to report information in respect of transactions involving receipts by non-profit organizations of the value of more than Rs. 10 lakhs or its equivalent in foreign currency to FIU-IND.

Following checks shall be done while furnishing NTRs in respect of transactions involving receipts of value more than Rs. 10 lakhs or its equivalent in foreign currency by their clients who are non-profit organizations.

- i. NTRs must contain details of legal persons since, as per definition under Rule 2(1)(ca) of the Money Laundering (Maintenance of Records) Rules, 2005, a non-profit organization means any entity or organization that is registered as a Trust or a society under the Societies Registration Act, 1860 or any similar State legislation or a company registered under section 25 of the Companies Act, 1956. Keeping in view this definition, list of customers must be reviewed to identify and tag NPO accounts.
 - ii. It may be checked whether organizations like NHAI, NABARD, mutual funds, PF/Insurance Schemes are NPOs under rule 2 (1)(ca) of PML Rules and not to report such entities as NPO.
 - iii. Transactions of a single account shall be given in report along with details of the legal entity, individuals, account and transaction.
 - iv. Separate NTR should be filed for each NPO account. Transactions of unrelated clients should not be clubbed in one report.
 - v. Utmost confidentiality needs to be maintained in filing of NTRs to FIU-IND.
-

Enhance due diligence for High Risk Customers

High Risk Customers would typically be persons/entities that by nature of their business/occupation, place of incorporation/residence or any other characteristic are more vulnerable to money laundering. A list for classifying a customer as high risk and clients of special category is provided in Schedule – 1.

Apart from conducting the basic KYC as per the requirement of the respective business, the company shall perform EDD for customers who are classified as High Risk Customer/CSC.

Enhanced Due diligence shall mean to include but not limited to following information which assists the senior management to determine if the client can be onboarded and does not trigger AML risk for the organisation/ Portfolio Manager:

1. Career history and professional background, including corporate positions and shareholdings.
2. Negative or detrimental material regarding the client and the subject's business interests.
3. Any links between the client and organised crime, money laundering, corruption, business crime and/or any other type of criminal activity.
4. Sanctions Risk
5. If any legal action/proceeding is reflecting in the world check, confirmation either from the distributor / investor shall be sought;
6. Reasonable measures to verify the source of income of the client i.e. income tax return, net-worth certificate if the investment profile of the client does not match.

EDD shall comprise the following:

1. EDD needs to be undertaken before commencement of business relationship with a client.
2. Laying down reasonable measures to understand whether client's source of income and net worth is commensurate with the investment amount. In this regard, the Relationship Manager (RM)/Investor Servicing team will endeavour to procure any one of the documents as mentioned in **Annexure A**. This is an illustrative list and entities may obtain any additional documents for verifying source of income and net worth in consultation with Group Compliance team.
3. Basis the above document, Relationship Manager (RM)/Investor Servicing team to provide report on customer profile more specifically set out in **Annexure B**, containing customer details like occupation, net worth, income details, beneficial ownership details (in case of non individual accounts), etc. to compliance for review and approval. Post conducting above due diligence and completion of EDD requirement, approval of CEO / Head of Business shall be taken before boarding of high risk customer. Investor Services team in consultation with relationship manager to provide customer details to the CEO / Head of Business in the aforementioned **Annexure B**, seeking their approval to on-board the client.

4. Post obtaining approval for High Risk customer, customer can be retained, subject to any other business specific requirement. However, in case approval to retain the High Risk customer is not provided on account of some deficiencies or suspicion, business shall have absolute discretion to report suspicious transactions to FIU-IND and / or to freeze the folios of the client(s), reject any application(s) / allotment of units and effect mandatory redemption of unit holdings of the investor(s) at the applicable NAV subject to payment of exit load, if any.
5. EDD to be performed during business relationship by taking below steps:
 - ◆ More frequent review of the customer's profile/transactions, which shall be more stringent for High risk customer.
 - ◆ Updation of KYC may be done at higher frequency for High risk customer accounts as specified by the regulator.

Change in Customer categorisation:

- ◆ Where there is change in customer categorisation to high risk basis review of customer's transaction and profile, EDD process as mentioned above shall be carried out.
 - ◆ Further approval of senior official as per the hierarchy mentioned above shall be taken to continue relationship with such customer.
 - ◆ In case of PEP, approval of BG Compliance Head shall additionally be obtained to continue business relationship with such PEP.
-

Illustrative list of Income Proofs

Income proofs for Individuals:

1. Latest copy of Income tax assessment orders/ Income Tax returns slips
2. Form 16 in case of employed individual
3. Latest Salary slip from employer
4. Bank statement showing income credit like salary Income, rent income, etc.
5. Mandi receipt for Agricultural Income
6. CA certificate on client's Income/Net Worth
7. Registered Rent Agreement

Income Proofs for Non-Individuals:

1. Latest copy of Income tax assessment orders/ Income Tax returns slips
2. Latest copy of Audited Statements
3. Annual Report
4. Chartered Accountant's certificate on client's Income/Net Worth

Enhance due diligence checklist

<u>Basic Client Information</u>	
SBU	
LOB	
Sub-Lob	
EW Legal Entity	
Customer First Name	
Customer Last Name	
Type of High Risk Customer/ CSC (eg. HNI, NRI, PEP, etc.)	
Why classified as High Risk Customer/CSC/PEP	
Date of Birth	
Place of Birth	
Address:	
National ID/PAN No.	
Other ID	
Passport #	
Action initiated by any enforcement agency	
Are there any sanctions Imposed	
Criminal History if any	
Any adverse news	
Any Additional Information	
<u>Enhance Due Diligence Details</u>	
Profile of the Client	
Why classified as High Risk/ PEP/ CSC	
Merits of doing the case	
Duration of being associated with any political party/ organisation and whether still a member of the party/organisation or not	
Any Deviation on KYC documents if yes then what deviation and what is mitigant	
Any negative news available on Google or in public domain or newspaper or internet	
Customer's Income (as per Income proofs submitted)	
Is the financial detail commensurate with the investment horizon of the client.	
Have you verified Documents like ITR , bank statement, demat statement and any other document to support the Financial status of the client	
Any waiver or exceptions given in terms of product offering, if yes then what are the mitigants	
Relationship manager report submitted (Yes/No)	